Month-End AR Reconciliation SOP

WESTLINE AUTO PARTS · CREDIT & COLLECTIONS · STANDARD OPERATING PROCEDURE · OCTOBER 2026

Every open receivable is tied to the general ledger, classed into one of six outcomes and handed to a named owner by business day 3 (BD+3) of the following month. The September 2026 close met that standard: 1,981 open items worth $841,421.66 were classed on BD+3, and the subledger differed from the ledger by $141.07, inside the $250 tolerance.

Westline Auto Parts is a fictional company. Every figure in this SOP comes from a synthetic dataset built to mirror a real four-yard collections desk.

Document control

Item	Detail
Process	Month-end accounts receivable reconciliation and open-item classification
Scope	All credit accounts at the four yards: Sacramento (SAC), Fresno (FRS), Riverside (RIV), San Jose (SJC). Cash-on-delivery sales are out of scope.
Process owner	Collections Lead
Approver	Controller
Performed by	Collections Lead and collections specialists, with inputs from cash application, credits and returns, dispatch and yard managers
System of record	Accounting system AR subledger; working file: Westline AR Operating Workbook (Google Sheets)
Version	1.0, first issue
Effective	Nov 2, 2026
Next review	Feb 1, 2027, or sooner after any change to terms, systems or approval limits
Related documents	Collections Desk dashboard · Chargeback and refund root-cause map · Collections team training playbook

Why this procedure exists

Before June 2025 the ledger was never reconciled at month-end, so balances that could not be collected sat beside balances that could. Collectors spent calls on items the customer did not owe: returns waiting on a credit, unapplied checks, duplicates from a system migration. Credit limits on file no longer matched what accounts actually owed.

The close now separates those items every month, so the collections worklist holds only money that is genuinely due. Each other item goes to the team that can clear it.

Measure, all yards	Sep 2025	Sep 2026
Share of receivables older than 60 days	30.1%	6.4%
Days sales outstanding (DSO)	56.6	37.7

Measure, all yards	Sep 2025	Sep 2026
Collection effectiveness index (CEI)	51.4%	76.2%
Legacy items still unexplained	not tracked	23 items, $10,474

Roles and responsibilities

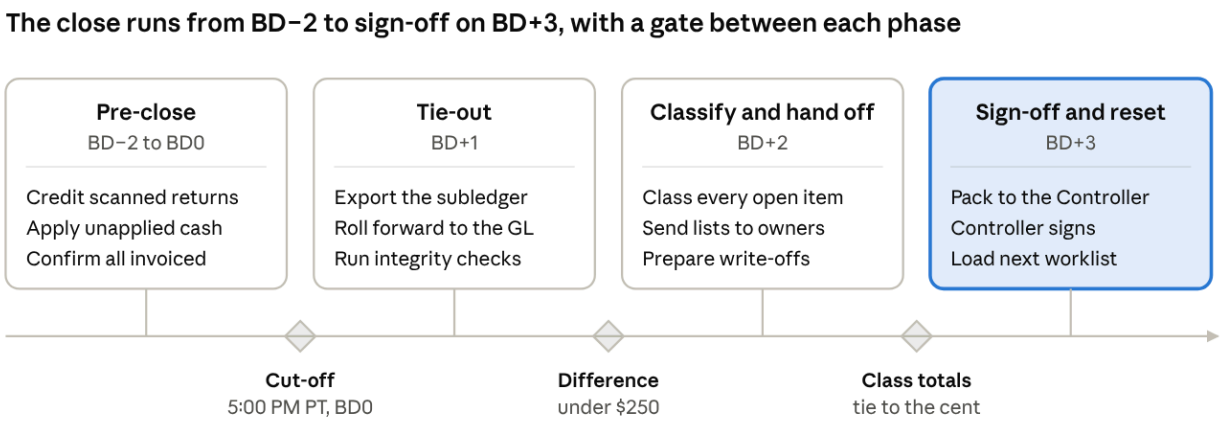
The Collections Lead runs the close and the Controller signs it. Every other team acts only on the items the close hands them.

Activity	Collections Lead	Specialists	Cash application	Credits and returns	Yard managers	Controller
Post all month invoices, payments and credits by cut-off	I	I	R	R	C	A
Pull the aged subledger and the GL control balance	R	I	C	I	I	A
Tie the subledger to the GL and explain any difference	R	I	C	C	I	A
Apply unapplied and on-account cash	C	I	R/A	I	I	I
Class every open item into one of six outcomes	A	R	C	C	I	I
Issue credit memos for returns already received	I	I	I	R	C	A
Get the reason behind each short-pay	A	R	C	C	C	I
Investigate legacy items	R/A	I	C	C	I	I
Approve write-offs and small-claims filings	R	I	I	I	C	A
Sign off the close pack	R	I	I	I	I	A
Load next month's worklist	R/A	I	I	I	I	I

R = does the work · A = accountable, signs off · C = consulted before · I = informed after. One A per row.

Close calendar

The close runs over six business days: three before month-end and three after it. Each phase opens only when the gate before it is passed.



Close calendar · 4 phases, 3 gates

BD0 is the last business day of the month. When BD+3 falls on a holiday, sign-off moves to the next business day, and the Controller is told on BD+1.

Procedure

Eleven steps, run in order. No step starts until the check on the step before it passes.

Before month-end (BD−2 to BD0)

1. **Clear credits for returns received.** Credits and returns pulls every return that dispatch has scanned in but not yet credited.
   - Output: credit memos posted, or a written reason per item.
   - Check: no scanned return older than 5 business days without a credit.
2. **Clear unapplied cash.** Cash application matches every check, ACH and card payment sitting on account to an invoice.
   - Check: unapplied cash under $500 in total, with each remaining item explained.
3. **Confirm every delivery is invoiced.** Yard managers confirm all delivered orders were invoiced before the cut-off.
   - Cut-off: 5:00 PM PT on the last business day. Later activity posts to the next month.

Tie-out (BD+1)

1. **Pull the two balances.** Export the aged subledger at invoice level, and take the AR control balance from the general ledger (GL).
   - Output: one file per yard plus an all-yards total, saved to the close folder with the date in the name.
2. **Roll the balance forward.** Opening balance + invoices − cash received − credit memos − write-offs = expected closing balance.
   - Compare the expected balance to the subledger total. A difference under $250 is logged as a reconciling item with an owner and a clear-by date.
   - A difference of $250 or more stops the close until it is explained.
3. **Run the integrity checks.** Look for possible duplicates (same account, amount and date), credit balances, invoices with no owner, and accounts over their credit limit.
   - Output: an exceptions list, each line with a named owner.

Classification and hand-off (BD+2)

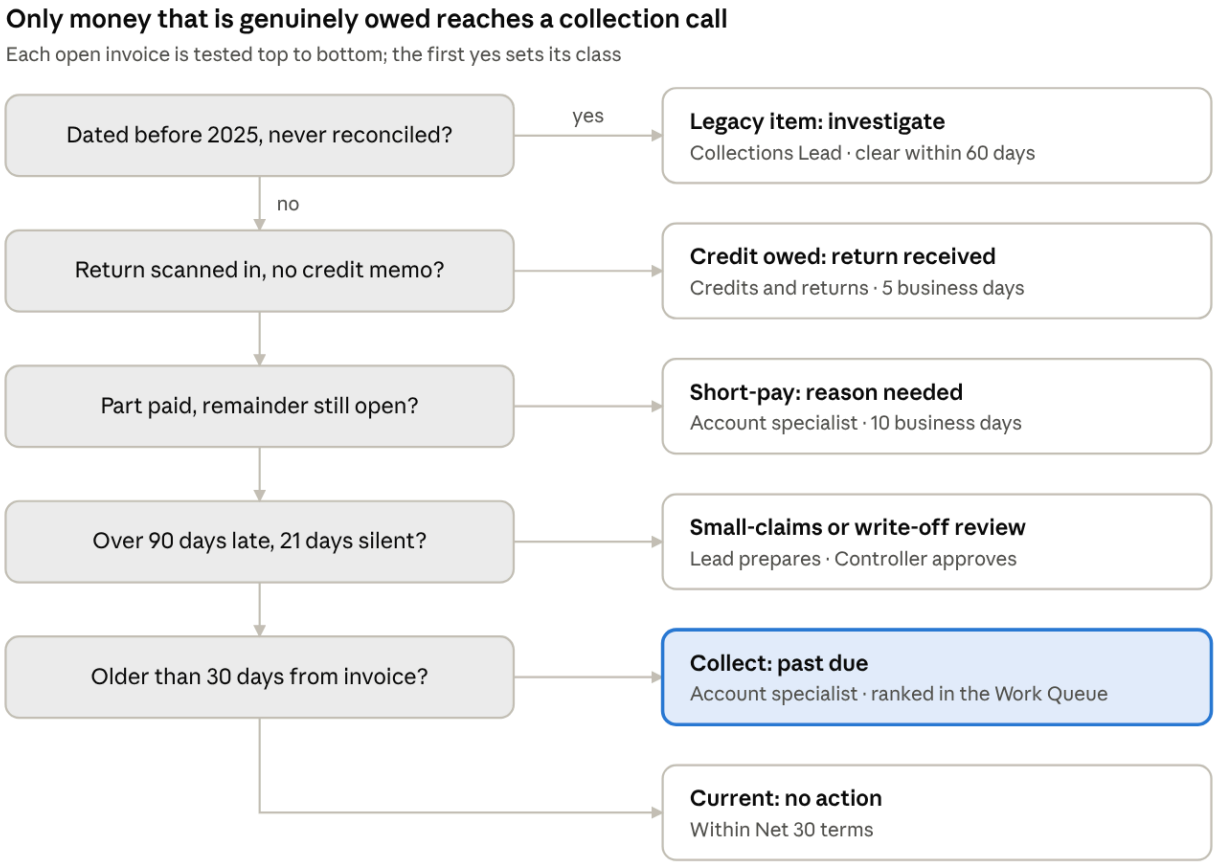
1. **Class every open item.** Apply the rules in the next section to each open invoice. Every item gets exactly one class.
   - Check: the class counts and amounts add back to the subledger total to the cent.
2. **Hand each list to its owner.** Credits owed go to credits and returns, and short-pays to the account's specialist. Legacy items go to the Collections Lead, and write-off candidates to the Controller.
3. **Prepare write-offs and small-claims files.** Each candidate needs the call history, the demand letter date and the approval set by the authority matrix.

Sign-off and reset (BD+3)

1. **Send the close pack to the Controller.** It contains the rollforward, the classification summary, the exceptions list and the write-off requests. The Controller signs it or returns it with questions within one business day.
2. **Load next month's worklist.** Every open invoice dated on or before month-end goes into the Worklist tab, and legacy items are flagged so they never reach a collection call. Accounts found over their limit go to the Controller for a limit review.

Classification rules

Each open invoice is tested against six rules in the order below, and the first rule it meets sets its class. Testing in this order keeps money the customer does not owe off the collection calls.



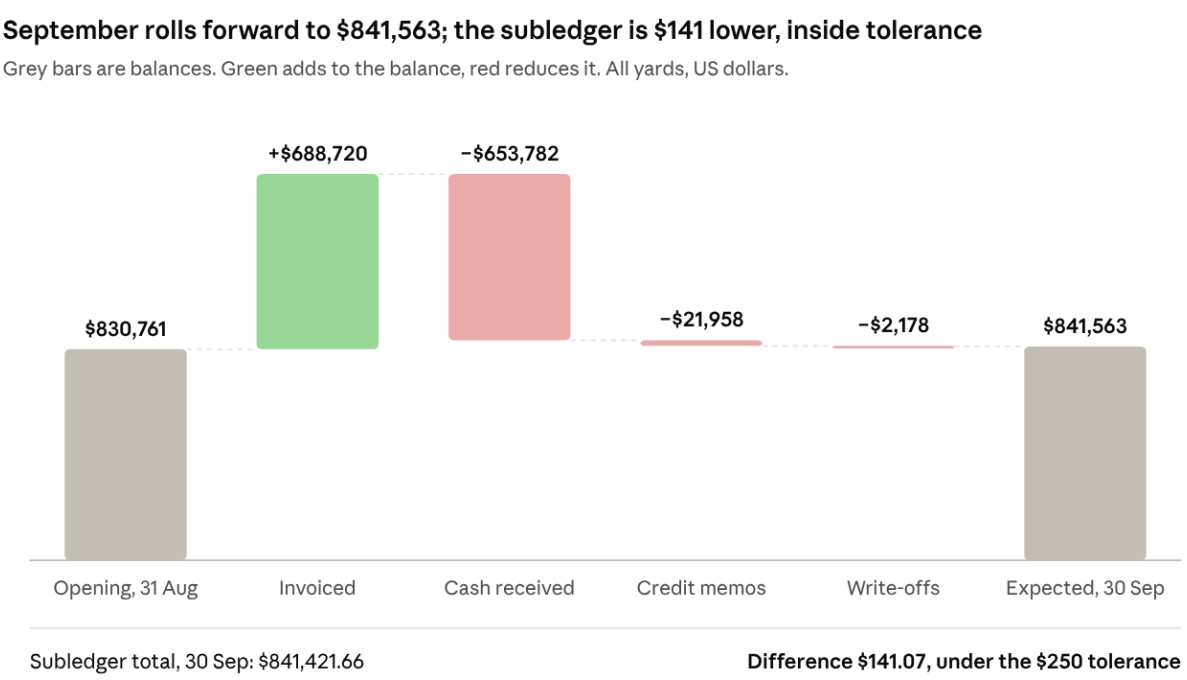
Classification rules · 5 tests, 6 classes

Order	Class	Test (first match wins)	Owner	Next step	Clear by
1	Legacy item, investigate	Dated before 1 Jan 2025 and never reconciled	Collections Lead	Trace to one of the known causes, then credit, apply cash or request write-off	60 days
2	Credit owed, return received	Dispatch has scanned the return in; no credit memo yet	Credits and returns	Post the credit and tell the customer the same day	5 business days
3	Short-pay, reason needed	A payment has been applied and part of the invoice is still open	Account's specialist	Get the reason (price, damage, core, freight), then credit it or collect it	10 business days
4	Small-claims or write-off review	More than 90 days past due and no live contact for 21 days	Collections Lead, Controller approves	Final demand, then small-claims filing or write-off under the authority matrix	Next close
5	Collect, past due	Older than 30 days from invoice (terms are Net 30)	Account's specialist	Ranked into the Work Queue	Ongoing
6	Current, no action	Within terms	—	None	—

A disputed item stays in its class and carries a dispute flag. Collection calls on it pause until the dispute is closed.

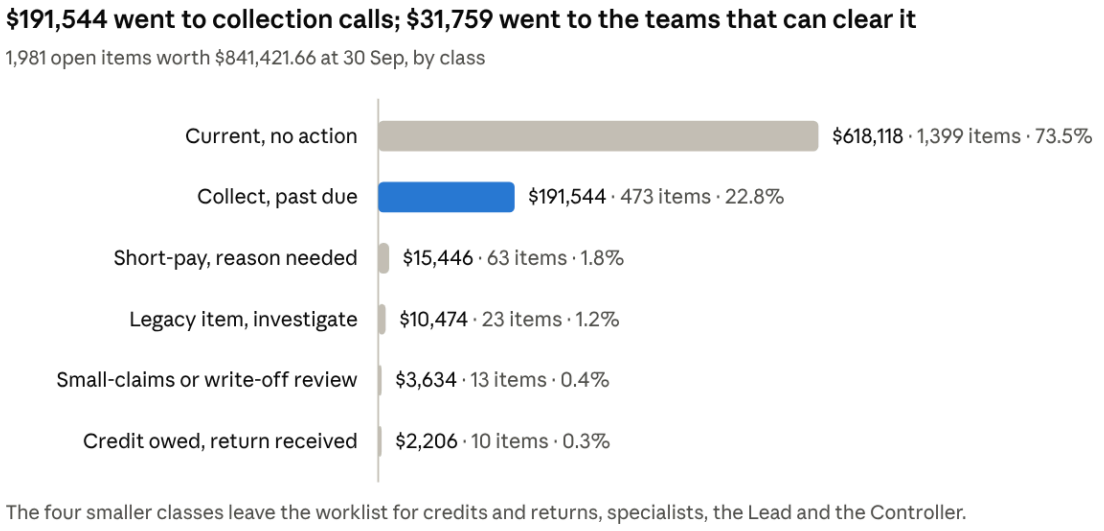
Worked example: the September 2026 close

The Controller signed September on Monday 5 October, which was BD+3. The ledger rolled forward to an expected $841,562.73, and the subledger showed $841,421.66.



Westline synthetic ledger · all yards · September 2026

The $141.07 difference is under the $250 tolerance. It was logged as reconciling item R-2609-01, with cash application as owner, to be cleared before the October close.



Westline synthetic ledger · open items at 30 Sep 2026

What the 23 legacy items turned out to be

Root cause	Items	Balance	Route to clear
Short-pay with no dispute logged	3	$3,604.95	Get the reason from the customer, then credit or collect
Unapplied check sitting on account	4	$2,678.56	Cash application applies it to the invoice
Customer closed, balance never written off	4	$1,226.91	Write-off request to the Controller
Return received, credit never issued	4	$1,072.59	Credit memo against the dispatch scan
Core charge never refunded	4	$1,019.82	Credit memo and refund
Duplicate invoice from the system migration	4	$870.98	Void the duplicate
Total	**23**	**$10,473.81**	

Three weeks later, on 26 October, 707 of September's open invoices were still unpaid, worth $281,525.06. They make up the October worklist in the AR Operating Workbook. The legacy items are flagged, so none of them reaches a collection call.

Controls and approvals

Six controls protect the close, and the person who prepares an item never approves it. Evidence for each control is kept in the month's close folder for seven years.

ID	Risk	Control	When	Evidence
C1	Subledger and ledger disagree and nobody notices	Rollforward tie-out with a $250 tolerance, reviewed by the Controller	Monthly	Signed rollforward
C2	An item is classed wrongly	The Lead re-checks a sample: every item over $2,500 plus 25 picked at random	Monthly	Sample sheet with results
C3	Write-off without authority	Approval limits below; the preparer cannot approve	Each item	Approval email attached to the item

ID	Risk	Control	When	Evidence
C4	Credit issued for a part that never came back	No credit memo without a dispatch scan of the return	Each item	Scan ID on the credit memo
C5	A legacy item reaches a collection call	Legacy flag keeps the item out of the Work Queue	Daily	Worklist flag column
C6	Credit limits drift from what accounts owe	Over-limit accounts reviewed at each close	Monthly	Limit change log

Write-off and small-claims authority

Amount per invoice	Approves	Informed
Up to $250	Collections Lead	Controller, in the close pack
$250 to $2,500	Controller	Yard manager
Over $2,500, or an account total over $5,000	Controller and owner	Yard manager
Small-claims filing, any amount	Controller	Yard manager, sales rep

KPIs and the close pack

Seven measures go to the Controller every month, and September met every target. All of them are calculated from the same subledger export used in the tie-out.

Measure	How it is calculated	Target	Sep 2026
Days sales outstanding (DSO)	Open AR ÷ credit sales of the last 3 months × days in those 3 months	Under 40	37.7
Average days delinquent	DSO minus best possible DSO, where best possible counts only balances within terms	Under 10	9.5
Collection effectiveness index (CEI)	(Opening AR + sales − closing AR) ÷ (opening AR + sales − closing current AR)	75% or more	76.2%
Share older than 60 days	Balance over 60 days from invoice ÷ total open AR	Under 8%	6.4%
Unreconciled difference	Expected closing balance minus subledger total	Under $250	$141.07
Close completed	Business days from month-end to Controller sign-off	BD+3	BD+3
Legacy items open	Count and value of items dated before 2025	Zero	23 items, $10,474

What the close pack contains

1. Rollforward and tie-out, signed by the Collections Lead.
2. Classification summary by yard, adding back to the subledger.
3. Aging by yard, with movement against last month.
4. Exceptions list, every line with an owner and a clear-by date.
5. Write-off and small-claims requests, with evidence.
6. The seven measures above with a 13-month trend.

The Controller gets the full pack. Each yard manager gets the pages for their yard, and sales reps get the list of their accounts that are over their credit limit.

Exceptions and escalation

Most exceptions are handled inside the close. Three stop it until the Controller decides: a difference of $250 or more, suspected fraud, and an insolvent customer.

Situation	What to do	Escalate to	Within
Difference of $250 or more	Stop the close. Split the difference by yard, then by posting day, until it is found.	Controller	Same day
Order placed by someone who is not the account holder, or shipped to an unknown address	Put the account on hold and stop shipments. Keep the evidence.	Controller	Same day
Customer closed or insolvent	Stop collection calls and gather the paperwork for a claim or write-off	Controller	1 business day
Customer disputes a balance during the close	Flag the dispute; the item keeps its class	Collections Lead	1 business day
Group account with short-pays at several locations	Reconcile one statement with the group's AP team instead of chasing each invoice	Collections Lead	Before BD+3
Credit requested but the return was never scanned	Hold the credit and ask dispatch to confirm receipt	Yard manager	2 business days
Check that cannot be matched to an invoice	Ask the customer for the remittance advice	Cash application	Before BD+2

Errors this procedure prevents

- Mixing aging by due date with aging by invoice date. Westline ages from the invoice date, everywhere.
- Posting a credit after the cut-off and dating it inside the closed month.
- Counting legacy items in past due, which inflates the number and sends collectors after money that is not owed.
- Signing off before the class totals add back to the subledger to the cent.

Appendix

Close checklist (copy this list into each month's close folder)

☐ BD−2: scanned returns without a credit cleared or explained

☐ BD−2: unapplied cash under $500, every item explained

☐ BD0: yard managers confirm every delivered order is invoiced

☐ BD0: cut-off at 5:00 PM PT confirmed

☐ BD+1: subledger exported per yard and for all yards

☐ BD+1: rollforward done; difference under $250 or explained

☐ BD+1: integrity checks run; exceptions list has owners

☐ BD+2: every open item classed; class totals equal the subledger to the cent

☐ BD+2: lists sent to credits and returns, specialists and the Controller

☐ BD+2: write-off and small-claims files prepared with evidence

☐ BD+3: close pack sent and signed by the Controller

☐ BD+3: next month's worklist loaded, legacy items flagged

Sign-off

Role	Name	Date	Signature
Prepared by: Collections Lead			
Reviewed by: Controller			

Terms used

Term	Meaning
AR subledger	The invoice-level list of what each customer owes
GL control account	The single AR balance in the general ledger that the subledger must equal
Rollforward	Opening balance plus activity in the month, which gives the balance the subledger should show
BD+n	The nth business day after month-end; BD0 is the last business day of the month
Short-pay	A payment smaller than the invoice, which leaves part of it open
Legacy item	An open balance from before 2025 that has never been explained
Small-claims	California small-claims court, used for unpaid balances once internal steps are exhausted